when there is a demand. Thus the consumers get the commodities regularly even during the off-season periods.

(iv) Business Finance

Based on the goods deposited in a warehouse, the depositor can get finance from banks and other financial institutions by showing the receipt issued by the warehouse keeper.

(v) Risk bearing

In case of damage to the goods, warehouse keeper compensates the loss caused to the owner of the goods. Thus, warehouses bear the loss of risk involved in storage of goods.

(vi) Preparation for sale

Modern warehouses undertake the functions of sorting, packing and labelling for the purpose of making the goods suitable for marketing. Hence warehousing is needed for making the goods suitable for sale.

(vii) Widening the marketing area

A manufacturer can sell the goods to different marketing areas by establishing branch warehouses or taking the service of rental warehouses at the required places. Thus warehousing widens the market for the goods.

(viii) Value added services

Warehouses also provide certain value added services, such as in transit mixing, grading, packaging and labelling. Sometimes, goods are repacked and labelled again at the time of inspection by prospective buyers.

What is in Transit Mixing?

It refers to a function in which warehouse receives products from different plants and mix and repack them as per client's requirement.

13.05 Advantages and Drawbacks of Warehousing

Advantages

1. It safeguards the stock of the merchants who do not have storing place.
2. Warehouses reduce distribution cost of the traders by storing the goods in bulk and allow the trader to take the goods in small lots to his shop.
3. It helps in selection of channel of distribution. The producer will prefer whether to appoint a wholesaler or retailer.
4. It assists in maintaining the continuous sales and avoids the possibilities of "out of stock" position.
5. It creates employment opportunities for both skilled and unskilled workers, to improve their standard of living.

Drawbacks of Warehousing

Warehousing is not effective because of the following reasons:

1. There are no adequate transport facilities between the place of production and warehouses.
2. Lack of sufficient storage facilities for different commodities such as perishable and non-perishable commodities.
3. Complicated formalities are to be fulfilled at the warehouses. The illiterate and innocent farmers are not able to cope with these procedures.
4. Complicated process of Barcode technology can reduce the storing of goods by some producers.

commerce 1-15.indd 122 10/12/2022 16:31:19